

**BEFORE THE
FEDERAL MARITIME COMMISSION**

20230930-DK-BUTTERFLY-1, INC.	)	
	)	
	)	
<i>Complainant,</i>	)	
	)	
v.	)	
	)	
HMM COMPANY LIMITED	)	
	)	
	)	
	)	
<i>Respondent.</i>	)	
	)	

DOCKET NO. 26-01

**RESPONDENT’S REPLY TO COMPLAINANT’S OPPOSITION TO
RESPONDENT’S PARTIAL MOTION TO DISMISS**

Joshua Stein
Christopher Raleigh
Rachel Schwartz
Henry Kim
COZEN O’CONNOR
2001 M Street NW
Suite 500
Washington, DC 20036
(202) 463-2500

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**RESPONDENT HMM’S REPLY TO COMPLAINANT’S OPPOSITION TO
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Respondent HMM Company Limited (“HMM”), through counsel, hereby replies to Complainant 20230930-DK-BUTTERFLY-1, Inc.’s (“BBBY”) opposition (“Opposition”) to Respondent’s Partial Motion to Dismiss (“Motion”) the complaint in this proceeding (“Complaint”).

I. INTRODUCTION

In its Motion, HMM moved to dismiss two of the five counts of the Complaint. Specifically, HMM moved to dismiss BBBY’s claims under 46 U.S.C. § 41104(a)(2) and 46 U.S.C. § 41104(a)(10), in each case for failure to state a claim for which relief can be granted.

With respect to Count III of the Complaint, BBBY’s Opposition misconstrues HMM’s arguments suggesting that HMM improperly sought to narrow the scope of the relevant sections of the Shipping Act. It did no such thing. Rather, HMM simply noted that: 1) the Complaint is devoid of any allegation that BBBY was assessed a rate contrary to those contained in the Service Contracts and amendments thereto; and 2) even taking BBBY’s allegations as true, the

imposition of surcharges via amendment was specifically contemplated in the provisions of the Service Contract quoted by BBY in the Complaint and therefore such actions cannot constitute practices contrary to those provisions.

With respect to Count IV, BBY asserts that HMM “cherry picked” quotes and relied on inappropriate assertions of disputed issues of fact. In reality, HMM did nothing but quote the allegations made in the Complaint to show that even when read in the light most favorable to BBY, BBY has failed to allege the basic elements of a claim under Section 41104(a)(10) as set forth in prior Commission precedent.

The foregoing flaws in BBY’s Opposition, and others, are set forth in greater detail below.

II. ARGUMENT

A. Count III of the Complaint Should be Dismissed because BBY Fails to State a Claim Under Section 41104(a)(2)

BBY fails to state a claim for relief under Section 41104(a)(2), which makes it unlawful for a common carrier such as HMM to:

(2) provide service in the liner trade that is—

(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title; or

(B) under a tariff or service contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title;

In its Opposition, BBY misconstrues HMM’s arguments for dismissal. BBY is correct that HMM places great significance on the fact that the Complaint is devoid of any substantive allegations that containers carrying BBY cargo were transported at rates other than

those in the Service Contracts or amendments thereto (which point BBY did not appear to directly controvert in its Opposition), but ignores that HMM's arguments go further.

Emphasis on the so called "filed-rate-doctrine" as a central element of Section 41104(a)(2) tracks a long line of Commission precedent. *See e.g., Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc.*, Docket No. 1831(F), 1998 WL 940255 at *10 (FMC Dec. 10, 1998) (affirming the initial decision in that matter which concluded that the filed-rate-doctrine has been consistently followed by the Commission and was affirmed by the Supreme Court in *Maislin Industries, U.S. v. Primary Steel, Inc.*, 497 U.S. 116 (1990)). In summarizing and then affirming the *Total Fitness* initial decision's analysis of the predecessor section to 41104(a)(2), the Commission quoted the ALJ's explanation that:

The 'filed rate doctrine' simply holds that a carrier must charge the rates duly filed under law in the carrier's tariffs and if those rates are reasonable under the applicable law the carrier must charge them notwithstanding misrepresentations by carriers' agents, ignorance of the filed rates by the shippers, or virtually any other defense that shippers could raise against the carriers' demands for payment of the duly filed tariff rates.

Id. at *10 (noting that the doctrine applies "regardless of equities and possible hardship on shippers.")(internal citations omitted).

In other words, while "the filed rate doctrine does not function as a carte blanche to justify whatever action a carrier believes is appropriate" (i.e., it does not serve as a shield to allegations of violations of *other* sections of the Shipping Act), it does require the carrier to charge whatever rates are contained in its service contracts (and amendments thereto) and in doing so insulates the carrier from liability under 41104(a)(2). *See e.g., Total Fitness Equipment, Inc.* at *10 (explaining that "a violation of the Act can be found despite the filed rate

doctrine” and that “there are substantive violations which may arise in the context of, but apart from, filed rate collections.”).¹

In addition and contrary to BBY’s assertion, HMM did not ignore the portion of 41104(a)(2) relating to “rules” and “practices”. Opposition at 3. Rather, HMM pointed to the provisions of the Service Contracts cited by BBY in its Complaint that expressly contemplate imposition of additional fees or increased rates if agreed to in an amendment. Motion at 4. Thus, notwithstanding the fact that the reasonableness of the amendments themselves may be subject to scrutiny under other sections of the Shipping Act, there is no basis to claim that the entry into such amendments was not in accordance with the provisions of the Service Contract.

Contrary to BBY’s representation in the Opposition, the Commission did not comment on the application of 41104(a)(2) to “virtually identical” allegations in *MCS Industries I or II*. Opposition at 3 (citing to *MCS Industries, Inc. v. Cosco Shipping Lines Co.*, FMC Dkt. No. 21-05, 2022 WL 458569 (FMC C.A.L.J. Feb. 4, 2022) (“*MCS I*”), *aff’d sub nom. MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, FMC Dkt. No. 21-05, 2024 WL 95383 (FMC Jan. 3, 2024) (“*MCS II*”). The ruling cited by BBY is an opinion of Chief Administrative Law Judge Wirth, entered on default, and the issue of whether the complaint stated a claim under 41104(a)(2) was not subject to review by the Commission (*MCS II*, 2024 WL 95383 at *7 (“Mediterranean does not appear to specifically renew here its claims as to Counts I-II of the

¹ While BBY correctly indicates that Congress intended for 41104(a)(2) to “maintain the integrity of the common carrier tariff and service contract systems”, Opposition at 4, Commission precedent demonstrates that this is properly understood to mean that while a Carrier must abide by the terms of its tariff and service contracts, doing so will not serve as a shield to liability under *other* provisions of the Shipping Act. *See e.g., Total Fitness Equipment, Inc.* at *10 (“the filed rate doctrine is meant to preserve the integrity of filed tariff laws, not to provide carriers with an irrebuttable excuse for alleged violations of the Act” and therefore “cannot be used to sanction a carrier's unfair or discriminatory practice.”).

operative complaint, and so those claims have been waived”)) or on appeal to the D.C. Circuit (*MSC Mediterranean Shipping v. FMC*, 141 F.4th 222, 235 (D.C. Cir. 2025)) (“we need not reach the question of whether MCS has sufficiently stated a claim as to counts II, III and IV, because even assuming that the Commission lacked jurisdiction over count II and that MCS failed to state a claim as to counts III and IV, we would nevertheless sustain the default judgment based on the Commission's valid exercise of jurisdiction over counts I and V.”). Furthermore, the complainant in *MCS Industries* expressly alleged that it “never agreed to pay PSS for the 2021 Service Contract year”. Verified Amended Complaint, *MCS Industries, Inc. v. MSC Mediterranean Shipping Company SA*, FMC Dkt. No. 21-05, Dkt. Entry No. 38 at ¶63, 2021 WL 6926682 at *8 (Dec. 23, 2021). BBY makes no such similar allegation and instead either concedes that amendments were entered into or relies upon conclusory statements that it was assessed “extracontractual” charges but provides no further detail as to any specific charges it alleges were not reflected in an amendment.

B. Count IV Should be Dismissed Because BBY Fails to State a Claim Under Section 41104(a)(10)

1. *HMM’s alleged failure to meet service commitments*

Because HMM did not shut out BBY, BBY has failed to state a claim under the version of Section 41104(a)(10) in effect prior to June 16, 2022, which is applicable in this proceeding. That statute made it unlawful for a common carrier to unreasonably refuse to deal or negotiate. In applying these requirements, the Commission has long held that to avoid a violation under 41104(a)(10) “[a]ll that is required is that common carriers . . . refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.” *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ June 27, 2001), *aff’d* 29 S.R.R. 1066 (FMC June 28, 2002), *aff’d New*

Orleans Stevedoring Company v. Federal Maritime Commission, 30 S.R.R. 1066, 80 Fed.Appx. 681 (D.C. Cir. Sept. 29, 2003)(“*New Orleans Stevedoring*”); *see also Santa Fe Discount Cruise Parking, Inc. v. the Bd. of Tr. of the Galveston Wharves*, Docket No. 14-06, 2014 WL 7404584, at *13 (ALJ Nov. 21, 2014) (dismissing refusal-to-deal claim because “Complainants do not allege that they did not have access to the Cruise Terminal, only that the access was on terms not to their liking”).²

Curiously, BBY characterizes HMM’s citation to facts alleged by BBY in the Complaint as “inappropriate assertions of disputed issues of fact”. Opposition at 7. And yet, it is BBY and not HMM that made the relevant assertions.

a. **HMM communicated regularly with BBY:** The Complaint provides the purported details of at least ten email and telephone communications from HMM to BBY between October 2020 and August 2021 regarding BBY’s requests for space. Complaint at ¶¶36, 48, 50-55, 57-58. Simply accepting BBY’s allegations as true, at minimum, this demonstrates that HMM was not refusing to respond to BBY as a form of shut out. *See e.g., OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S*, Docket No. 21-11, 2023 WL 3969857, at *29 (ALJ June 7, 2023) *aff’d* 2024 WL 4034610 (FMC Aug. 27, 2024) (“a common carrier’s repeated refusal to respond to email or telephone requests for negotiations over an extended period of time may be viewed as an unreasonable method of shutting another party out”).

² As above, BBY repeats its incorrect characterization of the holding in *MCS Industries I and II*. While Chief ALJ Wirth refused to dismiss the complainant’s claim under 41104(a)(10) for failure to state a claim in conjunction with her imposition of discovery sanctions against the defendant, she provided no analysis under the standard enunciated in *New Orleans Stevedoring* and her ruling on that issue was not subject to review by the Commission or on appeal to the D.C. Circuit.

- b. Made attempts to improve performance:** BBY, and not HMM, asserts that by email dated October 28, 2020, an HMM employee stated “to improve on our booking confirmation, we agree to a weekly space commitment/allocation. This was not in place prior and we feel it will greatly improve the results you will see from us.” Complaint at ¶48. BBY then quotes an email from a BBY employee on November 23, 2020, in which the BBY employee asserts that “This [week’s] lift appears to be great but it is not consistent...” Complaint at ¶49. BBY then quoted two further communications from HMM which noted that “since we put into place a weekly space allocation by port pairs along with extension of the PEK [PSS] in your S/C through end of December, we have seen improvement in your weekly confirmed bookings” (Complaint at ¶50) and “[h]aving the PEK and set weekly space allocation has definitely helped and improved our ability to confirm bookings for your S/C.” Thus, even read in the light most favorable to BBY, BBY itself has asserted that HMM responded to its communications with proposals to improve confirmed bookings.³ This is simply not consistent with an allegation of shut out or refusal to deal.
- c. Continued to Carry BBY’s Cargo:** BBY, and not HMM, asserts in the Complaint that in the 2020 Service Contract year, HMM carried 937.63 out of 1,000 FEUs (or approximately 94% of the contracted space)(Complaint at ¶40) and in the 2021 Service Contract year, HMM carried 1,468.63 out of 2000 FEUs (or approximately 74% of the contracted space)(Complaint at ¶41). Thus, even accepting these figures as true, there is no basis to infer that HMM shut out BBY.

³ While BBY’s other claims which are not the subject of the Motion assert that HMM’s conduct constituted failures by HMM to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c)(which claims HMM denies), this is not the relevant inquiry under Section 41104(a)(10).

Accordingly, looking solely to the facts alleged by BBY in the Complaint, BBY has not asserted that HMM refused to deal with or provide service to BBY and BBY's Section 41104(a)(10) claim should therefore be dismissed as to HMM's alleged failure to meet service commitments.

2. *HMM's alleged refusal to accommodate BBY's requests for a full or partial refund of demurrage and detention charges*

With respect to this aspect of BBY's claim under Section 41104(a)(10), the Opposition only serves to highlight BBY's flawed understanding of the relevant provisions of the Shipping Act. Following on its incredibly sparse treatment of this issue in the Complaint, which includes only five sentences asserting facts specifically relating to HMM's consideration of BBY's request for a refund of detention and demurrage charges (Complaint at ¶¶87-88), in its Opposition, BBY continues to improperly conflate a claim for unreasonable assessment of detention and demurrage charges under 46 U.S.C. § 41102(c) with a claim of unreasonable refusal to deal. *See e.g.*, Opposition at 6 ("The Complaint's detailed, specific allegations regarding ... HMM's improper imposition of detention and demurrage Charges are, on their face, more than sufficient to state a claim that HMM adequately refused to deal with BBY."). These are, of course, distinct claims under the Shipping Act and the elements required to sufficiently allege one are not a substitute for the other.

BBY asserts that there is no support for HMM's assertion that its "agreement—in one instance—to hear a request for a refund if BBY provided 'detailed evidence' somehow bars a claim for refusal to deal as a matter of law." Opposition at 6. However, except for a repeated request for a refund sent approximately four months later to which HMM responded by declining to issue a refund, BBY makes no other allegations relating to attempts to deal with HMM or any purported refusal by HMM to do so. Complaint at ¶88. Recent precedent makes clear that

such conclusory allegations are insufficient to survive a motion to dismiss. *See e.g., Samsung Electronics America, Inc. v. HMM Co. Ltd.*, Dkt. No. 24- 23, 2025 WL 992387 at *14 (ALJ Order Partially Granting Motion to Dismiss, March 24, 2025)(dismissing a refusal to deal claim based on allegations of a refusal to “mitigate, cancel, or waive” detention and demurrage charges because “refusals to deal are found where a party refused to consider a contract or request for service or space, not where the complainant disagrees with the result of the discussions” and that actions such as acknowledging receipt, requesting additional information, and discussing the request to the point of impasse are inconsistent with a refusal to deal).⁴

Accordingly, BBY fails to state a prima facie claim that HMM engaged in an unreasonable refusal to deal or negotiate and BBY’s Section 41104(a)(10) claim should be dismissed.

III. CONCLUSION

For the foregoing reasons, the claims identified above should be dismissed with prejudice.

Respectfully submitted,



Joshua Stein
Christopher Raleigh
Rachel Schwartz
Henry Kim
COZEN O’CONNOR
2001 M Street NW, Suite 500
Washington, DC 20036
(202) 463-2500

Dated: February 18, 2026

⁴ BBY’s reliance on *MCS I* and *II* with respect to this issue is entirely misplaced. That proceeding did not involve claims associated with detention and demurrage or requests for refunds or waiver of such charges.

CERTIFICATE OF SERVICE

I certify that, on February 18, 2026, a true and current copy of the foregoing Reply to Complainant's Opposition to Respondent's Partial Motion to Dismiss was filed via electronic mail with the Secretary of the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

Karl C. Huth (huth@huthreynolds.com)
Matthew J. Reynolds (reynolds@huthreynolds.com)
Gregory A. Crapanzano II (gcrapanzano@huthreynolds.com)
Joshua Luke Rushing (jlrushing@huthreynolds.com)

Dated: February 18, 2026

/s/ Joshua Stein

Joshua Stein
Cozen O'Connor